

Subject Description Form

Subject Code	AF4323
Subject Title	International Finance
Credit Value	3
Level	4
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Business Finance (AF3313)
Objectives	The object of this course is for students to become familiar with international capital markets (Outcome 2 and 9), to understand the economic forces at play (Outcomes 2 and 3), and to be equipped with tools and methods to analyze relevant issues in international trade and investments (Outcome 2, 3 and 4).
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Comprehend basic concepts in the global economy (exchange rates, balance of payments, etc.) (Outcome 2) - Discuss financial instruments in open economies (forward exchange rates, futures markets for foreign exchange, foreign exchange options and other derivatives) (Outcome 9) - Understand the economic forces at work in international financial markets (exchange rate determination, interest rate parity, foreign exchange risk, real exchange rates, the global capital asset pricing model, etc.) (Outcomes 2 and 9) - Recognize specific features of international capital markets (the foreign exchange market, international debt markets, international equity financing, etc.) (Outcome 2 and 9)
Subject Synopsis/ Indicative Syllabus	1. Introduction to International Finance and Trade ♦ Why Trade?: the theory of comparative advantage ♦ Globalization: benefactor or menace? 2. Foreign Exchange Fundamentals ♦ Balance of payments ♦ International monetary system 3. Foreign Exchange Market ♦ Currency contracts (spot and forward) ♦ Exchange rate determination and forecasting ♦ Currency derivatives and risk management 4. International Capital Markets ♦ International banking and money market ♦ International debt and equity market ♦ International diversification ♦ International capital market equilibrium (international cost-of-capital models)

Teaching/Learning Methodology	A three-hour seminar will be conducted each week to give students a conceptual and analytical framework to think about a broad range of relevant issues in international finance and trade. Students will be assessed on the written and presentation components of a research project. Students are also required to participate in class discussions.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	Continuous Assessment	50%						
	1. Midterm Exam	20%	√	√				
	2. Project	20%	√	√	√	√		
	3. Class Participation	10%	√	√	√	√		
	Final Examination	50%	√	√	√	√		
	Total	100 %						
Student Study Effort Expected	Class contact:							
	▪ Seminars				39 Hrs.			
	Other student study effort:							
	▪ Project				40 Hrs.			
	▪ Midterm Exam & Final Examination				50 Hrs.			
	Total student study effort				129 Hrs.			
Reading List and References	1. Eun, C.S., B.G. Resnick, and T. Chuluun, International Financial Management, 10th Edition, McGraw-Hill, 2024. 2. Geert Bekaert and Robert J. Hodrick, International Financial Management, 1/e, Pearson Education, 2009 3. Bruno Solnik and Dennis McLeavey, Global Investments, 6/e, Pearson Education, 2009							